

National Summary

The Beige Book ■ August 2019

Overall Economic Activity

On balance, reports from Federal Reserve Districts suggested that the economy expanded at a modest pace through the end of August. Although concerns regarding tariffs and trade policy uncertainty continued, the majority of businesses remained optimistic about the near-term outlook. Reports on consumer spending were mixed, although auto sales for most Districts grew at a modest pace. Tourism activity since the previous report remained solid in most reporting Districts. On balance, transportation activity softened, which some reporting Districts attributed to slowing global demand and heightened trade tensions. Home sales remained constrained in the majority of Districts due primarily to low inventory levels, and new home construction activity remained flat. Commercial real estate construction and sales activity were steady, while the pace of leasing increased slightly over the prior period. Overall manufacturing activity was down slightly from the previous report. Among reporting Districts, agricultural conditions remained weak as a result of unfavorable weather conditions, low commodity prices, and trade-related uncertainties. Lending volumes grew modestly across several Districts. Reports on activity in the nonfinancial services sector were positive, with reporting Districts noting similar or improved activity from the last report.

Employment and Wages

Overall, Districts indicated that employment grew at a modest pace, on par with the previous reporting period. While employment growth varied by industry, some Districts noted manufacturing employment was flat to down. Firms and staffing agencies universally cited tightness across various labor market segments and skill levels, which continued to constrain growth in overall business activity. On balance, Districts reported that the pace of wage growth remained modest to moderate, similar to the previous reporting period. Districts continued to report strong upward pressure on pay for entry-level and low-skill workers, as well as for technology, construction, and some professional services positions. In addition to wage increases, some Districts noted other efforts—such as enhanced benefits offerings, work arrangement flexibility, and signing bonuses—to attract and retain employees.

Prices

On net, Districts indicated modest price increases since the last report. Retailers and manufacturers in some Districts reported slight increases in input costs. Although firms in some Districts noted an ability to pass along price increases, manufacturers relayed limited ability to raise prices. District reports on the impact of tariffs on pricing were mixed, with some Districts anticipating that the effects would not be felt for a few months.

Highlights by Federal Reserve District

Boston

Economic activity expanded at a modest pace since the last Beige Book report, although some manufacturers saw declines while tourism and the staffing sector reported strength. Commercial real estate markets strengthened on balance. Residential real estate inventories were down and contacts noted bidding wars.

New York

Regional economic growth continued at a modest pace.

Job creation was sluggish, but labor markets remained tight and wage growth picked up a bit. Prices continued to rise modestly. Manufacturing activity picked up slightly. Residential rental markets firmed. Banks reported a rebound in loan demand, but the financial sector overall showed signs of softening.

Philadelphia

On balance, business activity continued at a modest pace of growth during the current Beige Book period.